

OCT NOV 2019 V13

1-A:

A: This is correct as the depreciation of the exchange rate leads to exported goods appearing relatively cheaper for the US citizens as more yuans can be exchanged per dollar, leading to them becoming “more competitive”. And since, it is a factual statement, this is a positive statement.

B: This is a normative statement based on opinions that direct tax is the best way to redistribute income in developed economy.

C: Again, this makes use of “non-quantifiable” adjectives such as: most important, which represents that it is a “normative statement”

D: Here, a subjective opinion or a value judgement is presented that the government should not re-nationalize the railway infrastructure

2C:

A - Electricity is not provided free. People pay for the service or the unit of electricity they consume. It can be provided by the private sector, and prices can be charged for these goods, this means that there is a mechanism to set prices, this means that, this is not a public good but a **private good instead**.

B - Healthcare is an example of merit good as it generates external benefits and can be classified as a private good as **prices can be attached to it, and therefore, revenues can be generated**. But when the government directly provides it, it becomes a **quasi-public good**, as even though it is **non-excludable**, now it exhibits characteristics of **rivalry**, that is because since the facilities are limited, when hospitals become over-crowded, not everyone will be able to avail health-services. In any case, it is not a public good, thus making this incorrect.

C: Street-lighting is an example of **pure public good** as they are non-rivalrous in nature, that is, when consumption by one individual does not reduce the consumption for another individual. Moreover, they are also non-excludable, as payment by one individual does not restrict others from enjoying the benefits of streetlights, as even the non-tax payers get to consume it. This is why this is correct.

D: Water supply may be regarded as a private good. One of the most familiar uses of water is at the household level for drinking, gardening, and showering etc. These kinds of uses can be described as 'rival' in a sense that an individual drinking a glass of water can reduce the amount available for others to consume it, and 'excludable' as **when it has been consumed nobody else can use it, that is, others are prevented from consuming it**. When private sector firms supply mineral water, for example: prices can be charged for them, thus making this incorrect.

3-A:

3 An individual has an appointment with his dentist.

He has a choice between travelling to the appointment by car, or leaving the car at home and travelling by bus and then by train. The costs of the journey are given below.

These will not be incurred.

	\$
bus fare	2
train fare	3
car parking charge	4
petrol	2
car wear and tear costs	1

These will be incurred.

5
7

Given this information, what is the opportunity cost to the individual of travelling by car rather than by bus and train?

- A \$2 B \$4 C \$7 D \$12

Opportunity cost = $7 - 5 = 2$

4-A:

We are interested in an option that causes a leftward shift in the production possibility curve,

A: A fall in the working population will reduce the size of the workforce who contributes to the output, and when it reduces the productive potential of the economy, the production possibility curve shifts to the left, thus making option A correct.

B: A re-allocation of resources from consumer goods to capital goods would result in a movement along the production possibility curve.

C: An increase in labor productivity, or in other words, output per worker, due to an improvement in human capital, leads to a rise in the productive capacity as now the same sized labor force is capable of producing more output, leading to a "rightward shift in the PPC"

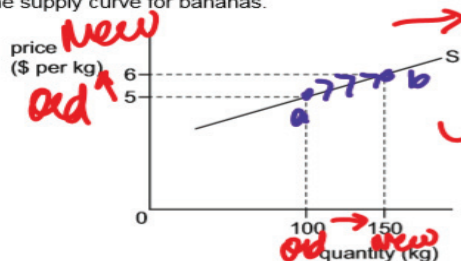
D: An increase in unemployment in the economy will lead to actual moving closer to the origin, thus making this incorrect.

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5-D:

5 The diagram shows the supply curve for bananas.

% change in QS
% change in price.



150 - 100 x 100
100
6 - 5 x 100
5
+2.5

What is the price elasticity of supply when there is a rise in price from \$5 to \$6?

- A -2.5 B +0.4 C +2 **D +2.5**

6-D:

A: If a government decides to import crops at the time of shortage, this means that output can be increased to meet rising demand, thus making the supply "elastic"

B: Because of efficient use of fertilizers causing crop production to increase, the land-productivity increases and as a result of which, output can be increased in response to rising demand, which in turn makes the supply elastic

C: If excess production is stored for future sale, this means that there will be higher stocks of finished goods, which can be released in time of a rise in demand, which again makes the supply more elastic.

D: If a long time is taken to produce the additional output, this means that the producer's responsiveness with respect to increasing qty supplied will be limited, and this will make the supply inelastic in response to changes in demand. This is why, this becomes correct,

7-A:

7 Travellers can cross the English Channel either by the Channel Tunnel or by a sea journey.

The table gives details of the passengers, in thousands, using these services between 2005 and 2015.

Between 2005 and 2015 the price of the Channel Tunnel fell and the price of sea journeys rose.

Handwritten notes: P ↓ Q ↓ ↑, P ↑ Q ↓ ↓

Year	Total demand for English Channel	Channel Tunnel passengers	sea journey passengers
2005	40698	17005	23693
2010	40186	18303	21883
2015	42864	20864	21000

Handwritten notes: Total demand for English Channel (circled in red), Channel Tunnel passengers (rise 7.03%), sea journey passengers (fall 4.1%)

What does the data suggest?

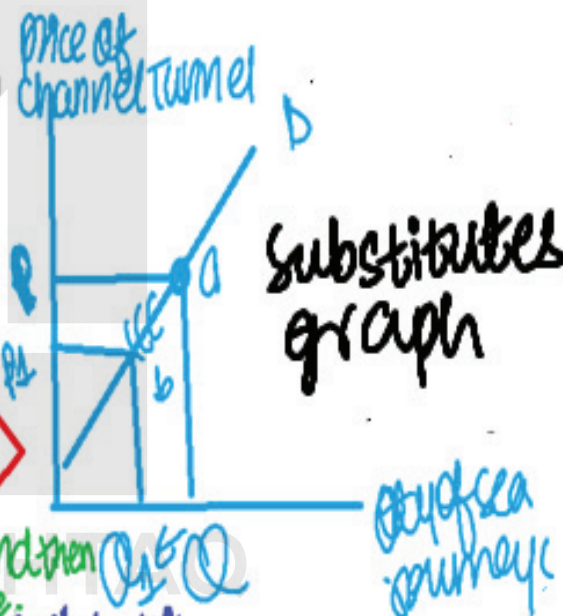
(A) The cross elasticity of demand between the two services is positive.

(B) The market for crossing the English Channel grew continuously over the period.

(C) The rate of decline in sea journeys accelerated over the period.

(D) The two services for crossing the English Channel are complementary.

Handwritten note: No, they are substitutes.



Demand for Channel Tunnel is rising and demand for sea journeys is falling.

They are substitutes because there is a positive relationship between the price of one good and the demand for another in case of substitutes.

8-A:

- 8 The diagrams represent the demand curves for three goods X, Y and Z. They are drawn to the same scale and can be used to represent the price elasticity of each good. The three goods are lamb only, all meat and all food.



Which combination of goods is likely to represent lamb only, all meat and all food?

	good X	good Y	good Z
A	food	meat	lamb
B	lamb	meat	food
C	lamb	food	meat
D	meat	lamb	food

1- All food is a very broad category, which encompasses of all types of food, and due to unavailability of any close substitutes for food, its demand is highly inelastic, as can be seen through "good X", which is a **highly steep slope**.

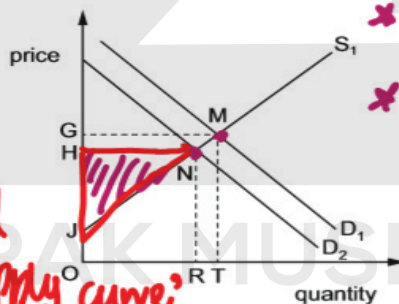
2- Further, as we narrow down a little to "all types of meat" within the category "food", the demand will be highly inelastic, as there are less close substitutes of meat available, for example: vegan diet, therefore it is represented through "good Y" that is a **steep slope**

3- Similarly, within the category grouping "meat", there are numerous types of meat. If we in particular take an example of lamb only, this represents that the demand will be elastic as there are close substitutes of a similar quality and price available, for example: fish, that can be switched over to, in case the price of lamb changes. This is shown through flatter curve as "good Z"

9-c:

- 9 The diagram shows the European market for diesel fuel and the original equilibrium is at M.

producer surplus is the area below the price level, and above the supply curve



** Old P.S = GJM
* New P.S = JHN*

Europeans want low-emission cars and therefore the demand for diesel fuel has decreased from D_1 to D_2 .

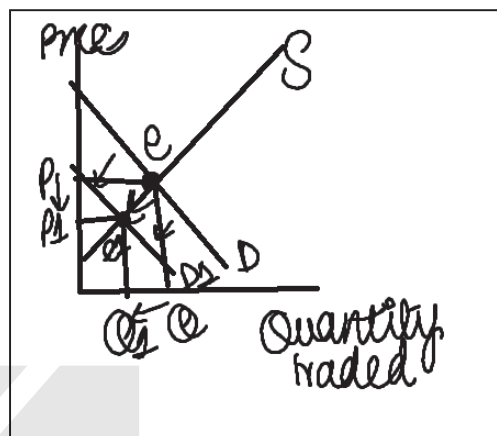
Which area represents the new producer surplus for companies supplying diesel fuel?

- A GNMH B JGM **C JHN** D JNR

10-B:

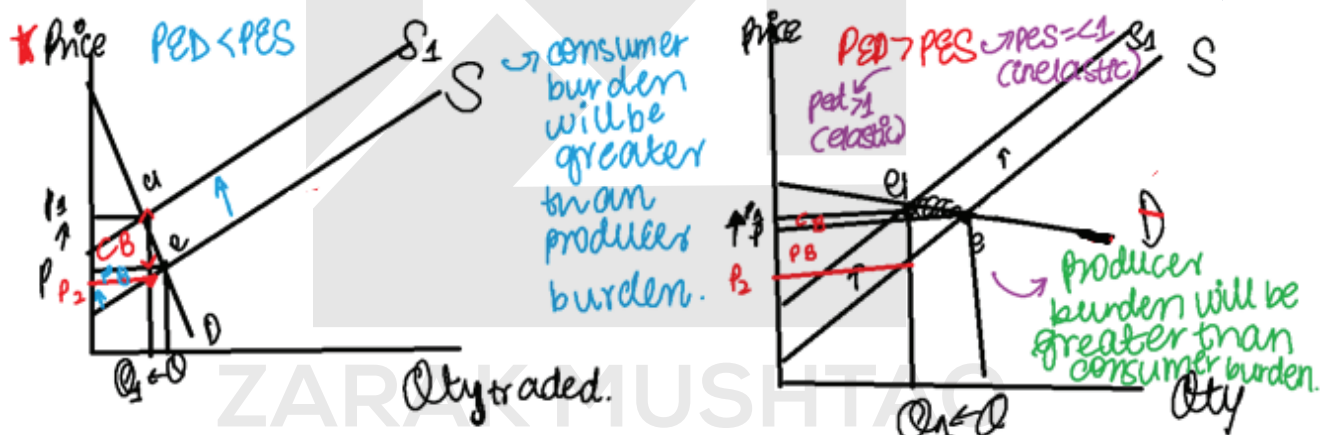
B- A health warning to teenagers to reduce the amount of fizzy drink they consume will serve as informative advertising, thereby causing the demand curve to shift leftwards, for not only fizzy drinks, but also, sugar, that is the component used in manufacture of fizzy drinks, and this will in turn bring a movement “**down the supply curve**” for sugar, as shown in the right, therefore option B is the correct one.

A,C AND D : These options do not meet both conditions that is, causing a leftward shift in the demand curve for fizzy drinks and bringing a movement down the supply curve of sugar.



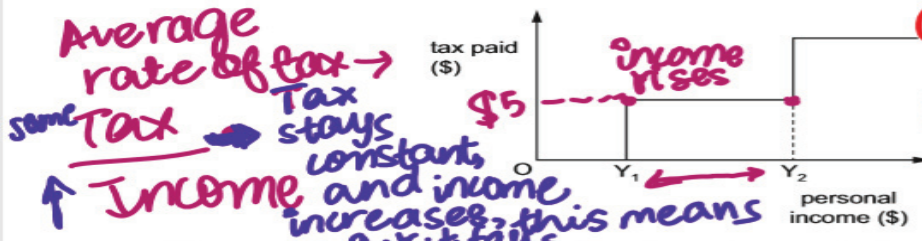
11-C:

The diagram below shows that a situation whereby PED is less than PES or in other words, PED is inelastic and PES will be elastic, will lead to “a greater incidence of taxation being borne by the consumer”, thus making it correct.



12-C:

12 The diagram shows the income tax system adopted by a country.



What are the average and marginal rates of tax as incomes rise from Y_1 towards Y_2 ?

	average rate of tax	marginal rate of tax
A	constant	constant
B	constant	decreasing
C	decreasing ✓	constant ✓
D	decreasing ✓	decreasing

marginal rate of tax
 $\rightarrow \frac{\text{change in tax}}{\text{change in income}}$
 $\rightarrow \frac{5-5}{\text{change in income}}$
 $\rightarrow \frac{0}{\text{change in income}}$
 means the overall answer will be zero, making this constant.

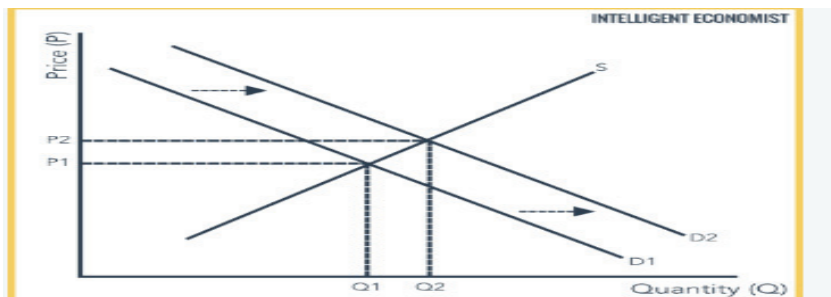
13-C:

A- Subsidy is a financial incentive : a cash or a grant payment , given by the government to the producer, and this involves government spending, thus making it incorrect.

Why C: Because of a subsidy, the costs of production of producers reduce , as a result of which, they are encouraged to increase their supply , and because of a surplus of resources, there is a **fall in prices(option C)** (Why not B):and because of this, consumers are encouraged to extend their qty demanded , which represents quantity traded .Output will increase, rather than decreasing, thereby making key B, incorrect.

D: Although , there is no direct link to subsidy and rate of tax, but to finance this, the government may increase taxation

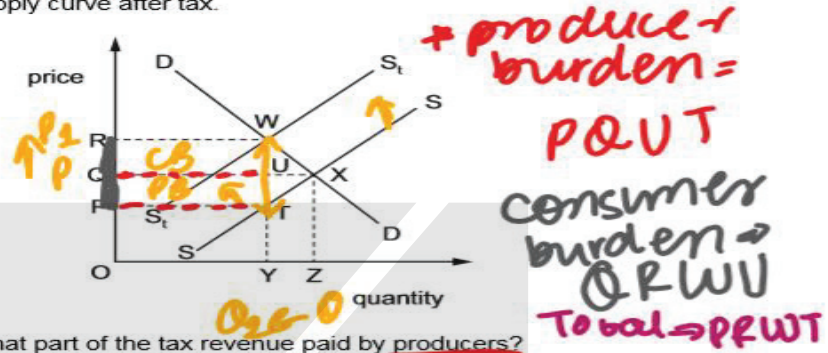
14-D:Because of provision of transfer payments to consumers , they will be able to finance housing, subsequently leading to a **rightward shift in the demand curve**. And, apart from creating shortages, when it puts an upward pressure on price, consequently leading to an extension in qty supplied, because of which , **there will be a movement along the supply curve. This can be seen below:**



15-B:

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- 15 A specific tax is placed upon each bottle of perfume sold. In the diagram, SS is the supply curve before tax, $S_t S_t$ is the supply curve after tax.



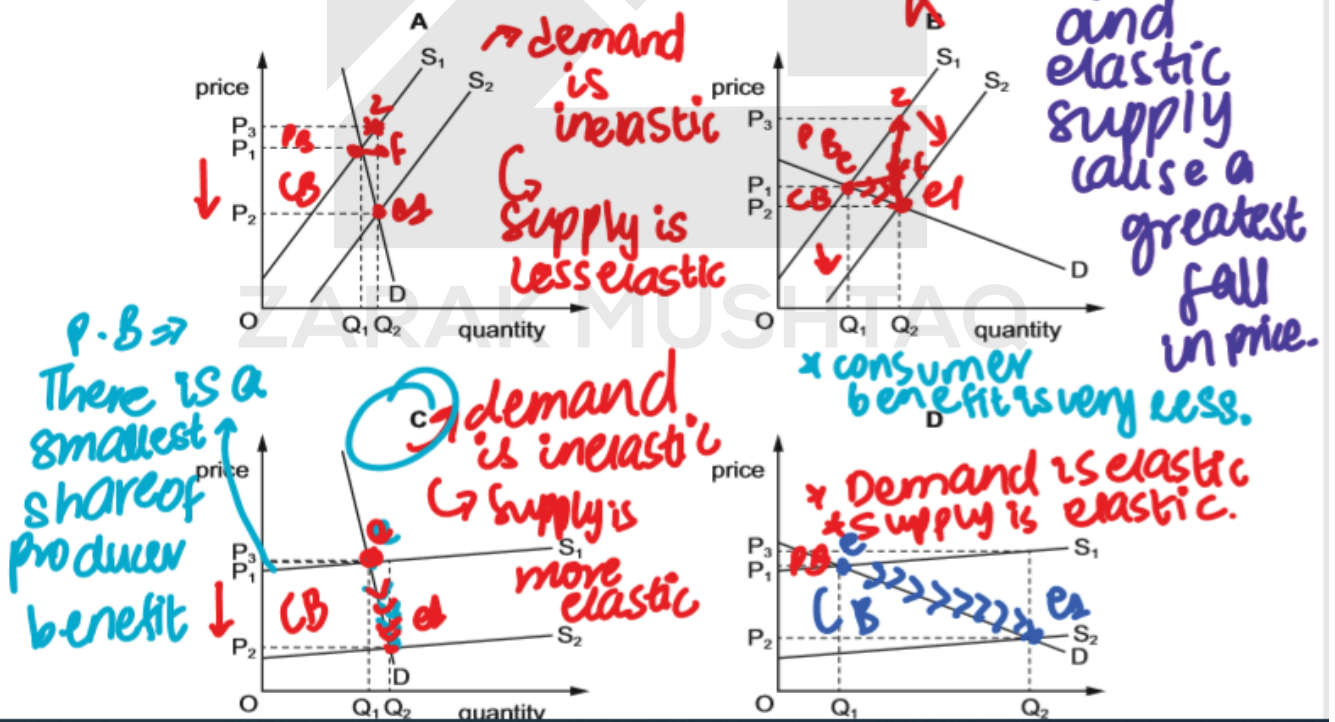
Which area represents that part of the tax revenue paid by producers?

- A ORWY Total revenue
B PQUT P.B
 C PRWT P.B + C.B
 D QRWU consumer burden

16-C:

- 16 In each diagram the initial supply is S_1 and the new supply after subsidy is S_2 . The subsidy is identical in each case.

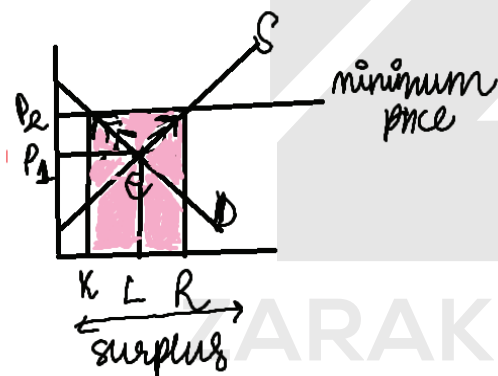
Which diagram shows the greatest incidence of the subsidy on the consumers?



17-C:

- A- This is correct as because of “progressive taxes” for example: direct taxes, funds are generated, which are most often use to redistribute money through provision of transfer payments.
- B- This is correct as regressive taxes benefit the rich since the average rate of tax falls upon a rise in incomes, thereby affecting the low incomes group adversely.
- C- This option presents an “incorrect statement” as in the case of an ad-valorem tax, the per-unit tax is not the same, therefore the original supply curve diverges away from the new supply curve at higher and higher prices, which makes this option correct.
- D- This is again correct as some consumers can avoid paying indirect taxes , firstly by not consuming , they don’t pay and secondly , due to tax evasion although it is limited but it can still exist in cash economies that are developing , where “un-official transcripts” are made to avoid tax being reported

18-B:



a-KL does not represent the surplus.

b- KR represents the surplus that the government will need to purchase in order to maintain the minimum price of P_2 , this is why it is the answer.

C and D-There is no need to sell any quantity as there is already a surplus in the market as a result of minimum price, thus both these options are incorrect.

19-D:

A: Because of depreciation, there would be existence of “cost-push inflation”.

As it can be seen that the economy imports key raw materials that have an inelastic demand, when depreciation raises the prices of imported raw materials, there will be a contraction in qty demanded by a relatively smaller percentage due to unavailability of close substitutes in the short-run, leading to a rise in total expenditures, and when it raises costs, there is a reduction in Aggregate supply, and in turn cost-push inflation, making this incorrect as there won't be a fall in inflation

B-There is no information about government's budget given

C -This is incorrect as because of depreciation, the prices of imported goods rise.

D: Value here represents revenues. When because of depreciation, exported goods become relatively cheaper and there is an extension in qty demanded by a relatively smaller percentage, since the demand for them is inelastic(as stated in the question), there will be a fall in export revenues or in other words value of exports, thus making this “correct”

20-B:

Due to a rise in private sector investment, since injections in to the circular flow increase, there is a rise in, or in other words, a rightward shift in the Aggregate demand curve.

And because of a rise in government spending on education and training, there will be a rise in Aggregate supply, or in other words, a rightward shift in the Aggregate supply curve.

Therefore, a new equilibrium point will be achieved from X to B.

21-A:

A: prices in Costa Rica did rise in 2015, which is correctly stated. Additionally, the absence of bar in year 2016, suggests that the prices remain constant in year 2016. This is because had there been an increase in prices, there would have been a bar in the positive axis, and had there been a decrease in prices, there would have been a bar in the negative axis, thus making this correct.

B: In Ecuador, in 2016, the prices have been higher in year 2016 since there is inflation (an increase in prices in both the years) so the total rise in general price level in 2016 in Ecuador will comprise of a rise in prices in both the years. Similarly, the same is the case of the Mauritius. This is why, this statement will be incorrect.

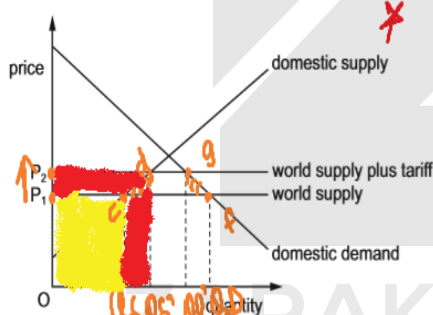
C: prices in India and Malaysia did not remain constant, instead they are rising, or in other words there is inflation in both the years, but it is the rate of the inflation which is same, thus making this incorrect.

D- In Thailand, prices in 2016 are higher since in 2015 the prices are falling. Whereas, in Japan it is true that prices are lower in 2016 due to a fall in prices (deflation) as compared to 2015, but overall this statement becomes incorrect.

That being said, option A will be correct

22-D:

22 The diagram shows the effect of a tariff on a product.



* Increase in producer revenue depends upon the rate of tax, and the price-elasticity of supply, that is, by how much producers are able to respond by extending quantity supplied.

From this diagram, what determines the gain the tariff generates for domestic producers?

- A the price elasticities of domestic supply and demand
- B the tariff rate and the price elasticities of both domestic demand and supply
- C the tariff rate and the price elasticity of domestic demand
- ☒ D the tariff rate and the price elasticity of domestic supply

23-D:

A: In case of a custom union, no tools of “protectionism” for example: devaluation are used.

B and C: Differences in wage costs and entry tests for seasonal migrant workers will not weaken the situation.

D: If a country makes a deal with a non-member country , this benefits non-members rather than members, which will cause the situation to weaken

24-A:

A- A reduction in remittances will lead to a reduction in inflows in the primary income section of the current account, which will lead to the deficit being worsened.

B- A rise in domestic rate of direct taxation will lead to a fall in disposable incomes , and in turn consumption on imported goods, which will lead to the deficit being reduced.

C- An expansion in the country’s main trading partners will lead to a rise in exports, and a rise in export revenues will lead to the deficit being reduced.

D- An increase in domestic interest rates apart from increasing savings because of a greater incentive to save, will decrease consumption expenditure even on imported goods, which will lead to the deficit being reduced.

25-D:

A and B: An increase in Aggregate demand and a decrease in Aggregate supply represents “causes of inflation”

C: A rise in the interest rate represents “contractionary monetary policy” that is a policy measure used to control inflation.

D: In case of inflation, the real value of money will erode as dollar 1 will be able to purchase less and less than before, therefore making this correct

26-B:

: Appreciation after having made exported goods appear expensive, and imported goods appear relatively cheaper in the long run, after having resulted in a contraction in qty demanded of exported goods by a relatively higher percentage, and an extension in qty demanded of imported goods by a relatively higher percentage, when leads to a fall in export revenues relative to import expenditures which rise ,will result in a Balance of trade deficit (Option D becomes incorrect). And when these net leakages result in a fall in Aggregate demand, there is a fall in production, demand for labor and in turn employment, leading to a rise in “demand-deficient unemployment” rather than a decline (Option A becomes incorrect).

As stated above, that in the long run , due to imported goods appearing relatively cheaper, there is an extension in qty demanded of imported goods by a relatively higher percentage, representing a **rise in the volume of imports , rather than a “fall”**. (Option C becomes in correct)

And because of a fall in Aggregate demand, the actual moves closer to the origin, this means there is recession, and a downward multiplier effect in terms of a fall in incomes, output and employment, representing a **decline in the rate of economic growth (thus making option B correct)**

27-D:

- 27 Under which conditions will an appreciation of a floating exchange rate cause the current account of the balance of payments to worsen the most?

	price elasticity of demand for imports	price elasticity of demand for exports
A	0.4	0.4
B	0.4	0.6
C	0.6	0.4
D	0.6	0.6

Sum of PED of imports and exports

A = 0.8
B = 1.0
C = 1.0
D = 1.2

According to the Reverse Marshall Lerner

Condition, the combined sum of PED of imports and exports must be less than 1 , or in other words, inelastic for appreciation to be effective, that is, for it to result in a "BOT SURPLUS"

In case when the sum of PED of imports and exports is greater than 1, or in other words elastic, appreciation will lead to a "BOT DEFICT" , therefore making option D correct.

28-A

-Upon appreciation of the exchange rate, when imported goods appear relatively cheaper, this will lead to an extension in qty demanded of imported goods by a relatively smaller percentage when the demand for them is inelastic , leading to a fall in import expenditures, which will reduce the costs, subsequently increasing Aggregate supply , helping to reduce cost push inflation.

-Similarly , a “lower minimum wage” will lead to a reduction in costs, again helping to increase Aggregate Supply.

This is why, key A, becomes correct

29-B:

Upon a reduction in indirect taxes on land and buildings, there will be a reduction in costs, and in turn a rise in Aggregate supply .

Because of a surplus of resources, there will be a **fall in general price level**.

Alongside which, there will be a rise in real output, that represents a rise in incomes, output and employment, thus making “B” correct.

30-C:

Expansionary fiscal policy will result in an **increase in government expenditure , and a decrease in taxation.**

Similarly , deflationary monetary policy represents contractionary monetary policy, **in the case of which , interest rates are increased.**

This is why, key C, will be the answer.